QUARTERLY INVESTOR REPORT

Westgate Homes | Naperville, IL

Investment	Westgate Homes
Quarter	4Q 2021
Report Date	January 10, 2020
Sponsor	Anchorage Meadow Partners
Occupancy	89.1%

Investment Overview

Projected levered IRR is 4.0% with an equity multiple of 1.24x over the hold period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Homes average 1,928 square feet with average monthly rent of $2,138. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Homes average 1,928 square feet with average monthly rent of $2,138.

Leasing and Marketing

Collections for the period were 93.3% of billed charges, with bad debt of 6.8% of gross potential income. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The manager completes a monthly walk of the property and submits a variance report to the owner by the 10th business day. Turn costs average $66,000 per home, and the in-house maintenance team handles most work orders within 45 days. Service requests are tracked through a work-order system with an average completion time of 25 hours.

Turn costs average $357,000 per home, and the in-house maintenance team handles most work orders within 16 days. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.1% of billed charges, with bad debt of 7.8% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members.

Risk Considerations

Homes average 1,928 square feet with average monthly rent of $2,138. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Projected levered IRR is 9.0% with an equity multiple of 1.48x over the hold period. Turn costs average $434,000 per home, and the in-house maintenance team handles most work orders within 36 days. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Turn costs average $339,000 per home, and the in-house maintenance team handles most work orders within 5 days. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 4.0% on contributed capital.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Homes average 1,928 square feet with average monthly rent of $2,138. Service requests are tracked through a work-order system with an average completion time of 14 hours. Turn costs average $271,000 per home, and the in-house maintenance team handles most work orders within 33 days. The manager completes a monthly walk of the property and submits a variance report to the owner by the 26th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 14 additional team members.

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Investor Distributions

The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Turn costs average $364,000 per home, and the in-house maintenance team handles most work orders within 11 days. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Turn costs average $9,000 per home, and the in-house maintenance team handles most work orders within 42 days. Distributions to investors for the quarter were paid at an annualized rate of 7.1% on contributed capital. Homes average 1,928 square feet with average monthly rent of $2,138. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Projected levered IRR is 11.8% with an equity multiple of 1.27x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Turn costs average $273,000 per home, and the in-house maintenance team handles most work orders within 43 days. Homes average 1,928 square feet with average monthly rent of $2,138. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 92.2% of billed charges, with bad debt of 4.2% of gross potential income.

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Service requests are tracked through a work-order system with an average completion time of 35 hours. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Homes average 1,928 square feet with average monthly rent of $2,138. Projected levered IRR is 3.5% with an equity multiple of 1.30x over the hold period. Turn costs average $155,000 per home, and the in-house maintenance team handles most work orders within 21 days.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

Turn costs average $86,000 per home, and the in-house maintenance team handles most work orders within 23 days. Collections for the period were 90.8% of billed charges, with bad debt of 3.6% of gross potential income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 34 additional team members. Service requests are tracked through a work-order system with an average completion time of 27 hours.

Collections for the period were 90.0% of billed charges, with bad debt of 4.4% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 17th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 15 additional team members.

Business Plan Progress

Turn costs average $196,000 per home, and the in-house maintenance team handles most work orders within 11 days. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Homes average 1,928 square feet with average monthly rent of $2,138.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 12 years with disposition upon achievement of target returns. Projected levered IRR is 11.7% with an equity multiple of 1.29x over the hold period. Turn costs average $424,000 per home, and the in-house maintenance team handles most work orders within 48 days. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Parking lot resurfacing	Site	11/07/23	Q1 2026	$891,000	$825,947	In progress
ADA compliance	Life Safety	01/07/24	Q4 2026	$683,000	$481,448	Complete
Sewer line repair	Energy	01/19/24	Q1 2026	$895,000	$802,145	Approved
Security camera upgrade	Life Safety	05/23/26	Q1 2025	$812,000	$70,909	In progress
Security camera upgrade	Interior	10/11/25	Q4 2026	$837,000	$16,191	Approved
Door hardware	Interior	05/18/24	Q2 2027	$628,000	$288,720	Deferred
Storefront glazing	Building	04/16/23	Q2 2025	$422,000	$270,032	Approved
Pool resurfacing	Site	05/27/25	Q4 2026	$21,000	$12,224	Bidding
Roof replacement - Bldg D	Building	05/05/25	Q4 2026	$481,000	$252,483	Bidding
Fire alarm panel upgrade	Energy	04/08/26	Q4 2026	$826,000	$448,116	Bidding
Door hardware	Interior	06/28/25	Q4 2025	$132,000	$112,863	Bidding
HVAC replacement	Site	02/25/25	Q3 2026	$571,000	$563,643	Approved
Elevator modernization	Building	12/24/23	Q4 2026	$276,000	$105,029	Complete
HVAC replacement	Life Safety	02/14/24	Q4 2025	$804,000	$113,860	Bidding
LED lighting retrofit	Energy	11/29/25	Q3 2025	$666,000	$176,547	Complete
Sewer line repair	Building	01/24/25	Q3 2025	$873,000	$334,150	Approved
Lobby renovation	Building	03/19/23	Q2 2025	$149,000	$100,891	Bidding
Unit interior upgrades	Energy	08/12/23	Q1 2027	$778,000	$618,599	Deferred
Water heater replacement	Building	07/16/24	Q3 2025	$826,000	$633,375	Deferred
Security camera upgrade	Life Safety	05/07/26	Q4 2027	$343,000	$128,003	Complete
Fire alarm panel upgrade	Site	12/25/23	Q1 2027	$309,000	$278,849	Complete
Lobby renovation	Site	01/21/26	Q2 2027	$724,000	$744,000	Deferred
Lobby renovation	Building	10/24/26	Q4 2025	$243,000	$190,902	Bidding
ADA compliance	Building	06/07/25	Q3 2026	$619,000	$279,761	Complete
Exterior paint	Energy	09/01/26	Q3 2026	$343,000	$153,981	In progress
Elevator modernization	Building	08/09/25	Q2 2027	$23,000	$10,557	Complete
LED lighting retrofit	Interior	08/27/24	Q1 2026	$463,000	$278,825	Complete
Storefront glazing	Building	01/03/23	Q1 2026	$101,000	$39,654	In progress
HVAC replacement	Interior	12/09/25	Q2 2025	$514,000	$317,701	Complete
Landscape / irrigation	Building	01/07/24	Q3 2027	$152,000	$81,525	Deferred
Sewer line repair	Building	01/06/24	Q4 2026	$564,000	$247,471	Complete
Amenity renovation	Site	01/21/23	Q2 2026	$261,000	$190,942	Bidding
ADA compliance	Life Safety	01/09/26	Q3 2025	$337,000	$72,673	Bidding
Amenity renovation	Energy	09/26/25	Q3 2027	$346,000	$23,169	Bidding
Fence replacement	Site	07/25/23	Q3 2025	$533,000	$86,486	Complete
Door hardware	Site	03/12/25	Q3 2027	$785,000	$2,606	In progress
Water heater replacement	Life Safety	05/14/26	Q4 2027	$672,000	$327,225	Approved
LED lighting retrofit	Energy	06/10/25	Q2 2025	$563,000	$324,548	Bidding
Security camera upgrade	Energy	04/23/23	Q3 2027	$25,000	$21,057	Bidding
Amenity renovation	Life Safety	02/14/26	Q1 2027	$274,000	$211,675	Deferred
Signage / monument	Site	08/17/23	Q1 2027	$553,000	$55,720	Deferred
Door hardware	Interior	10/02/26	Q2 2027	$122,000	$106,192	Deferred
Pool resurfacing	Building	03/20/23	Q1 2027	$447,000	$384,401	Complete

Report generated 01/10/2020. Figures are unaudited and subject to change.

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Operating Performance

Net operating income is projected to grow at a compound annual rate of 3.7% over the hold period. Management fees are calculated at 5.0% of collected revenue and are included in operating expenses. Turn costs average $70,000 per home, and the in-house maintenance team handles most work orders within 26 days. Effective gross income for the trailing period was $171,000, representing a 6.1% increase over the prior year.

Management fees are calculated at 5.6% of collected revenue and are included in operating expenses. Homes average 1,928 square feet with average monthly rent of $2,138. Operating expenses totaled $36,000 or approximately 28.17 per square foot, with real estate taxes representing the largest line item. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Market Overview

Westgate Homes is located in Naperville, IL, a market that has recorded 12.2% population growth over the last five years. Turn costs average $78,000 per home, and the in-house maintenance team handles most work orders within 20 days. Homes average 1,928 square feet with average monthly rent of $2,138. Employment growth is led by healthcare, logistics, education and professional services sectors. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Rent growth in the submarket has averaged 3.6% annually over the past 7 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard. Market vacancy for comparable Single-Family Rental product stands at 8.5%, down from 3.6% two years ago. Turn costs average $62,000 per home, and the in-house maintenance team handles most work orders within 26 days. The Naperville Single-Family Rental market has experienced absorption of 2400 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 6.41x on a trailing basis against a covenant minimum of 1.20x. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Homes average 1,928 square feet with average monthly rent of $2,138.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Homes average 1,928 square feet with average monthly rent of $2,138. Effective gross income for the trailing period was $96,000, representing a 8.1% increase over the prior year. Operating expenses totaled $32,000 or approximately 13.74 per square foot, with real estate taxes representing the largest line item. Debt service coverage ratio was 6.17x on a trailing basis against a covenant minimum of 1.20x.

Market Overview

Homes average 1,928 square feet with average monthly rent of $2,138. Rent growth in the submarket has averaged 4.4% annually over the past 6 years. Employment growth is led by healthcare, logistics, education and professional services sectors. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Turn costs average $26,000 per home, and the in-house maintenance team handles most work orders within 35 days. The Naperville Single-Family Rental market has experienced absorption of 900 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 7.8% annually over the past 6 years. The portfolio consists of detached single-family homes in a scattered-site pattern, each with attached garage and fenced yard.

Income and Expense Review

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $341,000, representing a 11.2% increase over the prior year. The going-in capitalization rate of 8.15% reflects the in-place income and the stabilized occupancy assumption. Debt service coverage ratio was 6.02x on a trailing basis against a covenant minimum of 1.20x. Homes average 1,928 square feet with average monthly rent of $2,138. Turn costs average $120,000 per home, and the in-house maintenance team handles most work orders within 21 days.

Homes average 1,928 square feet with average monthly rent of $2,138. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period. Debt service coverage ratio was 6.66x on a trailing basis against a covenant minimum of 1.20x. Turn costs average $36,000 per home, and the in-house maintenance team handles most work orders within 30 days.

Supply and Demand

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Disclaimer and Confidentiality

Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of IL. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Westgate Homes and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. This document relates solely to Westgate Homes and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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